**ON REPO RATE CUTS**

**"OUR OBJECTIVE IS TO SPUR DEMAND, AND YOU CAN SEE IT HAPPENING. CONSUMPTION EXPENDITURE HAS SHOWN GOOD GROWTH IN THE LAST 2-3 QUARTERS, AS DO CREDIT GROWTH AND OFFTAKE"**

employment, which I believe, over the years, has been doing quite well. If you look at the latest monthly PLFS (Periodic Labour Force Survey) data, unemployment is down to 4.7 per cent this November compared to 5.6 per cent in May. In fact, it has steadily come down from 2017-18, when the labour force participation rate as per the annual PLFS data used to be in the region of about 50 per cent. It improved to 60 per cent in 2023-24. That doesn't mean we don't have to create more jobs—we do need to create quality jobs at a higher pace and at higher wages. And I think the economy is in a good position to do so.

**Q. What about inflation? Are you confident of sustaining the current low rates?**

Yes. Average inflation has been rather benign over the last several months, below the 4 per cent (target range). Of course, the low number in the recent period is primarily because of the base effect, and the sharp moderation in food prices. Structurally, we have been witnessing a lower inflation, averaging 4.9 per cent in the nine years post the inflation targeting regime introduced in 2016. Before that, it used to be about 7 per cent. Going forward, as a result of the measures the government and the RBI have taken inflation is expected to remain benign for a long period of time, provided we do not face any supply side shocks.

**Q. Since February 2025, the RBI has cut the policy rate by 125 basis points (bps). It is now 5.25 per cent. This is striking because the last comparable easing happened in 2019 or so when there was a sharp slowdown in growth. This time, rates have been cut despite high GDP growth. What has changed in the RBI's assessment?**

The last time we brought down rates to as low as 5.25 per cent, and then even further down to 4 per cent, we were in a different situation—growth was low and inflation high, with headline inflation more than 4 per cent in 2021. This time around, growth is good and inflation benign. Monetary policy is always forward-looking and with inflation projected at 3.5 per cent or so and growth expected to moderate over the next two quarters, the policy repo rates were lowered.

**Q. And going forward?**

Monetary policy is not preset, it is evolving. We are data-dependent. We are in a neutral phase. It is for the MPC (Monetary Policy Committee) to see what the data points are and what we should be doing. However, as I mentioned, I do feel inflation will remain benign for a long time. And if that is so, barring shocks on the supply side, the weather, geopolitics or something else, we're in for a long period of low policy rates.

**Q. What did you hope to stimulate in the economy with this series of repo rate cuts?**

Our objective is to spur demand, and you can see it happening now. Consumption expenditure has shown good growth in the last 2-3 quarters. Overall, there is good credit growth and higher offtake, especially in MSMEs and personal loans like home loans. Why do I cite these? Because these are linked to external benchmark rates and the monetary policy transmission happens quicker in these than in other sectors. So, it should further spur demand in the economy, which should help growth and jobs.

**Q. The Indian rupee is now 91 to the dollar and yet the RBI, unlike in the past, seems in no rush to aggressively defend a specific level for its currency. Is the central bank consciously allowing exchange rate flexibility?**